

Wednesday May 6th, 2026

VISIBILITY, VALUATIONS AND CYCLES!

There are a ton of dynamics at play in the current market cycle: agentic computation shift, need for memory, photonics, IPO tops, similarities to 2000s dotcom boom, revolutionary technology changing the world.

Semis are exploding. One month ago, Intel and Micron were at depressed levels. Now, not only are earnings and guidance from CPU and Memory companies strengthening narratives, but ratings are changing. The dynamic at which companies are valued, are changing from cyclical to growth. For example, **Micron** has always been a “cyclical company”. A cyclical company gets rated anywhere from **6-20 P/E**. They are also expecting **TTM EPS from 59 FY26**, to upwards of **147 FY '27**. In addition to that, quotes from **AMD** earnings say tropes such as:

“We have very good visibility now into the deployments that are on track for 2027. When I say good visibility, it’s visibility down to which data centers are the GPUs going to be installed in.”

“We are confident in our ability to supply to the levels of growth that we’re talking about and to exceed the levels of growth that we’re talking about.”

Market participants are looking for a “**cycle top**” Especially after how semis have behaved recently with **SOXX up 50% in the last month**. While many are calling for a top within 6-18 months, quotes like AMD’s above carry substance and give narratives runway through at least EOY 27. Moreover, Citrini analyst [Zephyr](#) says “I personally believe that CPU for agentic AI will cross 50% of the total market by 2030 Ben estimates 62% CAGR for agentic CPUs” [See here](#).

Similar to the 2000s dotcom bubble, the main question at hand is **how much of this is froth, and how much is rooted in material technological shifts reflected in business growth?** Prices are rising, froth is building, and it seems animal spirits are around the corner. It’s our job as market participants to decipher realistic business expectations from irrational exuberance if we want to have sustainable returns.

Valuation and Runway

As the stocks are gaining market caps the size of small nations’ GDPs, **valuation**, and **runway** are the main questions to pose.

EPS data all from Fidelity

With **Micron's** TTM Q3 EPS exp at **\$39** a share, that gives a **P/E of 17x** at today's premarket level of **\$670**.

Let's look at **LITE** for example: premarket May 6, 2026 of **\$991**, TTM EPS \$6.02 → **P/E 164x**; Q4 exp EPS \$7.84 → **Forward P/E 126x** (at T = FY26 Q4 Aug 10, 2026). That is currently the valuation the market is giving that company, because of its **growth potential**.

We can do the same exercise for a few of the primary companies in this agentic era:

NVDA (GPU) — Premarket ~\$200 | TTM EPS \$5.73 → **P/E 34.09x**

Let's keep going to see the relative valuations of all the big players:

CPU

INTC — Premarket \$114 | Q1 2026 EPS \$0.57 → **TTM P/E 200x** | FY '27 EPS exp \$1.52 → **Forward P/E 75x**

ARM — Up 12% premarket to \$234 | Q4 FY26 exp EPS \$1.75 (reports today May 6) → **TTM P/E 133x**

AMD — Up 20% premarket to \$424 (after +5% yesterday) | EPS \$4.58 → **TTM P/E 92x**

Memory

MU — Up 25% in 5 days to \$670 premarket | Q3 (Jun 23, 2026) EPS \$39 → **TTM P/E 17x** | Q4 (Sep 21) → **Forward P/E 11x**

SNDK — \$1,471 premarket | Q3 (Apr 26) EPS \$30.83 → **TTM P/E 47x** | Q4 (Aug 12) EPS exp \$59 → **Forward P/E 24x**

STX — \$790 premarket | TTM EPS \$12.41 → **P/E 63x**

Summary: Market Valuations

Snapshot of P/E (TTM), Forward P/E, latest reported revenue growth, recent gross margins, forward revenue CAGR expectations, and expected business reinvestment across optics, GPUs, CPUs, and memory premarket May 6, 2026.

Ticker	Type	P/E (TTM)	Forward P/E	Forward P/E Date	Prior Rev Growth	Forward Rev CAGR exp	TTM Revenue (M)	GM%	Capex Guidance (M)
LITE	Optics	164	126	FY26 Q4 (Aug 10, 2026)	90.1% YoY (Q3 FY26)	~43% ⁶	\$2,488	~37%	~\$500 ⁵
NVDA	GPUs	34.09	26	FY '27	73% YoY (Q4 FY26)	~47% ⁶	\$215,938	71.1%	\$76,300⁵
INTC	CPUs	200	75	FY '27	8% YoY (Q1 FY26) ¹	~6% ⁶	\$53,761	~36%	\$18,000
ARM	CPUs	133	115	FY '27 (Mar 2027)	26% YoY (Q3 FY26) ²	~20% ²	\$4,669 ⁴	~97%	minimal ⁵
AMD	CPUs	92	70	FY Q4 '26	38% YoY (Q1 FY26)	~35% ⁶	\$37,377	~51%	~\$1,000 ⁵
MU	Memory	17	11	FY26 Q4 (Sep 21, 2026)	196% YoY (Q2 FY26)	~66% ⁶	\$58,119	58.4%	\$25,000+
SNDK	Memory	47	24	FY26 Q4 (Aug 12, 2026)	251% YoY (Q3 FY26)	~36% ⁶	\$13,184	56.1%	~\$200 ⁵
STX	Memory	63	30	FY '27	13–15% (prior tgt) ³	20%+ (raised) ³	\$11,006	41.2%	~\$250 ⁵

¹ INTC total YoY rev growth 8%; AI-related businesses (60% of revenue) grew 40% YoY (per CFO Zinsner, Q1 FY26 call).

² ARM Q4 FY26 reports today (May 6, 2026); table reflects most recent prior quarter (Q3 FY26, reported Feb 4, 2026). Next-quarter guidance: \$1.47B ± \$50M, with royalty growing low-teens % YoY and licensing high-teens % YoY.

³ STX management raised annual revenue growth target from "low to mid-teens" to a minimum of 20% over the next few years (Q3 FY26 call, Apr 28, 2026).

⁴ TTM Revenue and GM% = trailing four quarters reported. NVDA reflects FY26 (year ended Jan '26). INTC, AMD: through Q1 CY '26. MU: through Q2 FY26 (Feb '26). LITE, SNDK, STX: through Q3 FY26 (Mar/Apr '26). ARM: through Q3 FY26 (Dec '25) — Q4 prints today. Memory GMs (MU, SNDK, STX) inflected sharply over the past 2-3 quarters; latest-quarter GAAP GM is materially higher than TTM (e.g., MU Q2 FY26 = 74.4%).

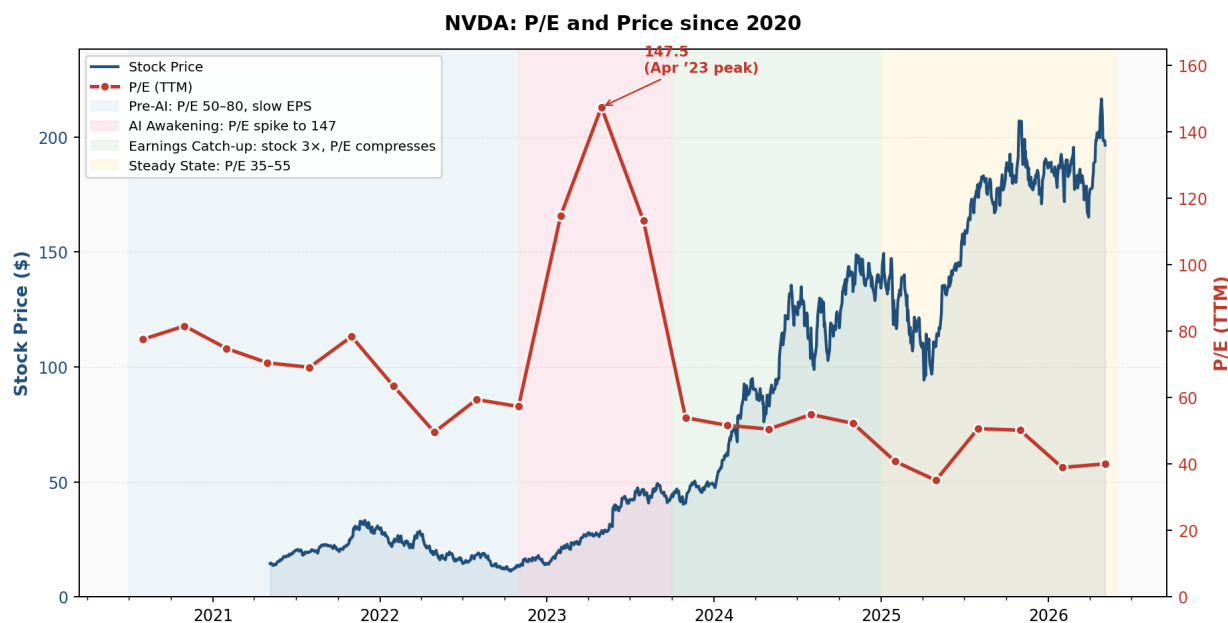
⁵ NVDA's Capex Guidance figure is total off-balance-sheet purchase commitments per Q3 FY26 CFO Commentary (Nov 19, 2025; linked): \$50.3B supply-related (inventory, mfg capacity, components) + \$26.0B multi-year cloud service agreements, as of Oct 26, 2025. NVDA's own annual capex is small (~\$1.2B); the meaningful capital signal is what NVDA has agreed to spend with TSMC, SK Hynix, and cloud partners. Q4 FY26 reports Feb 25, 2026.

⁶ Forward Rev CAGR exp = analyst consensus 2–3 year forward revenue CAGR (LITE/SNDK: 3-yr per Simply Wall St; NVDA/MU/INTC/AMD: 2-yr from stockanalysis.com consensus, computed as geometric growth from latest FY actual to FY+2 estimate). ARM/STX values reflect management long-term targets (footnotes ², ³).

Using those simple valuations of the biggest players today in the agentic AI space, we can ask how much are we paying for how much growth? Below references NVDA's path to becoming the top AI stock in the past 5 years.

NVDA Reference

NVDA went from ~\$10 in mid-2020 to ~\$200 today roughly 20x in under six years. The path was not a straight line, and the P/E ratio tells a more interesting story than the price alone:

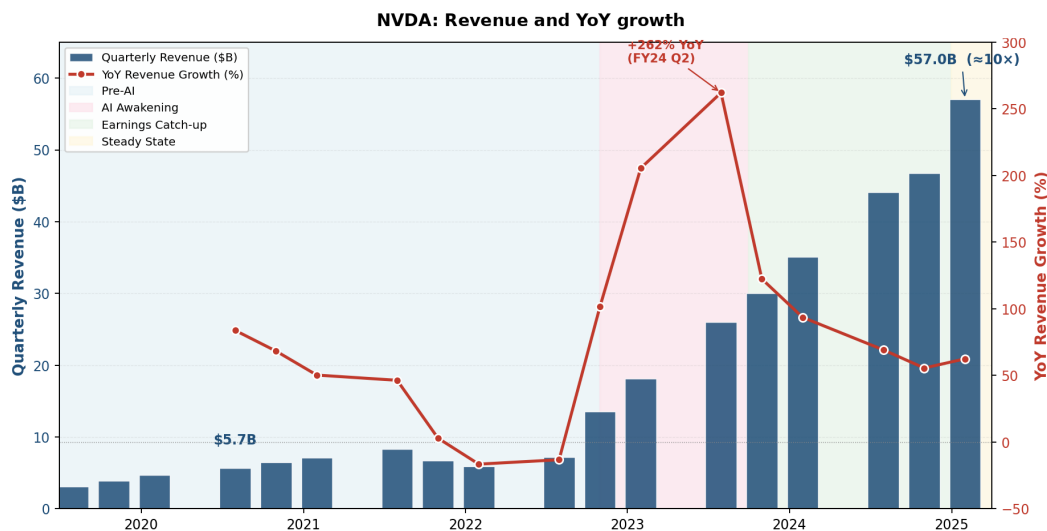


Date	Stock	TTM EPS	P/E	Stage
Jul 2020	\$10.58	\$0.14	77.55	Pre-AI
Oct 2020	\$12.49	\$0.15	81.61	Pre-AI
Jan 2021	\$12.95	\$0.17	74.83	Pre-AI
Apr 2021	\$14.97	\$0.21	70.52	Pre-AI
Jul 2021	\$19.45	\$0.28	69.16	Pre-AI
Oct 2021	\$25.51	\$0.33	78.43	Pre-AI
Jan 2022	\$24.44	\$0.39	63.47	Pre-AI
Apr 2022	\$18.51	\$0.37	49.63	Pre-AI
Jul 2022	\$18.13	\$0.31	59.46	Pre-AI
Oct 2022	\$13.48	\$0.24	57.36	Pre-AI
Jan 2023	\$19.52	\$0.17	114.80	AI Awakening
Apr 2023	\$27.72	\$0.19	147.47	AI Awakening (peak P/E)
Jul 2023	\$46.69	\$0.41	113.33	AI Awakening
Oct 2023	\$40.75	\$0.76	53.98	Earnings Catch-up
Jan 2024	\$61.49	\$1.19	51.67	Earnings Catch-up
Apr 2024	\$86.35	\$1.71	50.56	Earnings Catch-up
Jul 2024	\$116.96	\$2.13	54.96	Earnings Catch-up

Date	Stock	TTM EPS	P/E	Stage
Oct 2024	\$132.71	\$2.54	52.29	Earnings Catch-up
Jan 2025	\$120.03	\$2.94	40.83	Steady State
Apr 2025	\$108.89	\$3.10	35.13	Steady State
Jul 2025	\$177.84	\$3.51	50.67	Steady State
Oct 2025	\$202.47	\$4.03	50.24	Steady State
Jan 2026	\$191.12	\$4.90	39.00	Steady State
May 2026	\$196.50	—	40.10	Steady State (today)

Revenue and Stock Price Growth

The P/E valuation is a good reference point for the top agentic AI driving companies today. NVDA went up 10x, but so did its revenue. NVDA's quarterly revenue went from **\$5.7B in May-Jul 2020** to **\$57.0B in Nov 2024-Jan 2025**. The price tracked the revenue almost exactly.



The most important inflection is what happened to YoY revenue growth between Q3 calendar 2022 and Q2 calendar 2023:

Calendar Period	Fiscal Q	Revenue	YoY Growth	Note
Nov 2021–Jan 2022	FY22 Q4	\$5.9B	-16.5%	Cyclical trough
May–Jul 2022	FY23 Q2	\$7.2B	-13.2%	Still negative YoY
Aug–Oct 2022	FY23 Q3	\$13.5B	+101.5%	AI inflection ⚡
Nov 2022–Jan 2023	FY23 Q4	\$18.1B	+205.5%	P/E hits 114 same Q
May–Jul 2023	FY24 Q2	\$26.0B	+262.1%	Peak growth; P/E falls

In two quarters, Aug 2022 to Jan 2023, NVDA went from -13% YoY to **+205% YoY**. The P/E spike to 147 in April 2023 by the market led the revenue acceleration; Something we talk about often, the market is forward looking (Druckenmiller etc., skate to where the puck will go). By the time NVDA reported FY24 Q2 in August 2023 with revenue up 262% YoY, the P/E had already compressed back below 60. From there, **revenue did the work**: \$26B → \$35B → \$44B → \$47B → \$57B over the following five quarters, with the multiple drifting down naturally as EPS accurately grew into market expectations.

Comparing NVDA's Path

Multiple expansion comes first. From late 2022 through Q2 2023, NVDA's P/E went from 57 to 147, almost a 3x re-rate, while EPS stayed between \$0.17–\$0.41. The market priced in the AI thesis ahead of earnings, moving the multiple first. We can look for similarities to the stocks aforementioned, and we need to decipher if their anticipated EPS growths are fact or fiction, and can be sustained (in the case of Memory, being historically cyclical).

P/E will shrink eventually, either the P, or the E. From Oct 2023 through Oct 2024, NVDA stock went from \$40 to \$132 (a 3.3x) while the P/E *shrunk* from 113 to 52. That's because E (EPS) exploded from \$0.41 to \$2.54, 6.2x in 12 months. Our job as analysts is to identify prior, and at time of P/E expansion due to P, whether that expansion is, or will be warranted by the growth in E, or not.

P/E for growth rests in the 35 to 55 range, not below 20. Using the valuation chart above, our goal is to identify whether a company can continue to compound a healthy rate, while avoiding burning cash. This is why memory never has traded at a high PE, because investment heavy businesses tend to see profits shrink and growth collapse. NVDA hasn't traded below 35 P/E once since the AI phase began.

Conclusion:

Although all these companies solve some problem in the **AI agentic era**, they can't all be treated equally on a valuation basis. That is one of the harder parts about investing in this space, is differentiating and categorizing the players: asset-light vs. asset-heavy models, pure plays, value proposition, size, revenue growth, addressable market, cyclicity, corollaries, moats, barriers to entry, technological qualifications, sub industry competitiveness, etc. All those aspects are fundamental pieces that play factors into the market's pricing of the stock and will determine the business's lifespan. In addition to company fundamentals and industry dynamics, it's important to pay attention to relative strength, sector exuberance, and general beta dynamics. All these pieces go into understand why and how these companies move. At least with a decent understanding of expected growth, multiple's pricing models, and the historical anecdote of NVDA as the standard, we can arrive with somewhat of an understanding into the market's decisions on these semi companies. Finally, I'll be following up with an approach to identify signals that a top is approaching, or the cycle is turning for tougher times ahead. With price appreciation of 100% to upwards of 800% percent in the upswing, we can expect downswings of 50% even for some of the names with good fundamentals. **Armed with the information and thought processes above we should be more able to filter between good companies in market cycles relative to the tide that lifts all boats.**